

# Rent the Runway Case Analysis

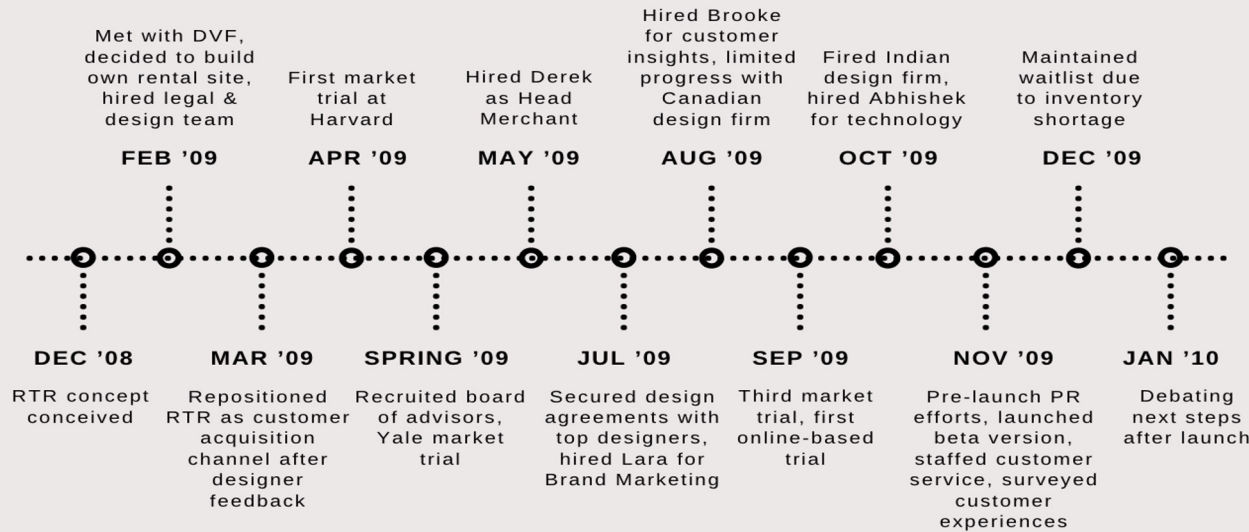
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*By submitting this deck of case slides, the members of  
our team affirm that we all participated in the analysis of  
the case and the creation of this document.*



# PIVOT TO PROFIT



We agree with RTR's early decisions, but have concerns about **technical infrastructure** and **staffing**. Neglecting robust site design and development was a misstep. The lean **workforce** seems insufficient for a rapidly growing company. However, pivoting to **customer acquisition**, securing **partnerships with top brands**, and **building a strong advisory board** laid the groundwork for success.

RTR refined its business model by **conducting market trials**, establishing a Customer Insights Team for **tailored experiences**, and adapting inventory acquisition directly from designers to improve control and profitability. Strategic financial and legal groundwork, including venture capital acquisition, underpinned its **operational stability**. Beta testing prior to launch allowed RTR to **adjust** its operational logistics, while **continuous customer feedback** led to service improvements. These actions enabled RTR to offer a personalized and upscale rental experience, validating its business hypothesis and refining the concept.

RTR could consider **early engagement** with technology experts to avoid website development delays and ensure a robust e-commerce platform from the start. Partnering with fashion technology startups for innovative inventory management and customer experience enhancements might be beneficial. RTR might also explore **pre-launch collaborations** with fashion influencers and stylists for wider market penetration and brand credibility. Implementing a scalable customer service infrastructure earlier could have better supported its rapid growth.



# NUMBERS TELL TALES

## 2010, Mid-January, Same Inventory

- Initial funds: \$ 1.75 M (expected to be run out in spring 2011)
- COGS for 1000 dresses =  $\$226 \times 1000 = \$226,000$  (a)
- Total rentals = 2000 (~2 months)
- GP =  $\$59 \times 2000 = \$118,000$  (b)
- Order needed to break even the remaining COGS =  $a - b / 59 = (226000 - 118000) / 59 = 1831$  orders
- Break-even time - with the demand of 2000 orders in 2 months, demand for remaining 1831 orders can be easily met in 2 less than months.

## Inventory Expansion

- Additional funds to expand current inventory to 5000 =  $\$226 \times 4000 = \$904,000$  (c)
- Assuming 3000 orders per month due to increased renting capacity.
- GP =  $\$59 \times 3000 = \$177,000$  (d)
- Break-even time =  $c / d = 904,000 / 177,000 = 5.1$  Months
- Key takeaways (comparison):
  - Improved customers satisfaction due to increased inventory
  - 3x times higher revenue
  - The service proved to be highly demanded in first 2 months
  - Reduced risk of inventory stagnation due to purchases based on experience

## Conclusion

Upon careful consideration of the substantial costs associated with acquiring new dresses, it is evident that additional funds for expansion will be a significant requirement. However, given the promising profit margins, high demand, and the involvement of board members as key employees, managing these expenses appears feasible.

The decision at hand entails a thoughtful evaluation of the potential increase in revenue against the impact of additional dilution. Despite the need for considerable investment, the robust financials and strong background of the company suggest that raising funds would lead to a higher valuation. This, in turn, would result in minimal dilution of equity for the cofounders, making it a favorable option for further growth and development.



# UNLOCKING THE POTENTIAL



## RTR strategy

Based on our analysis, we recommend **accelerating fundraising** to meet market demand, boost revenue, strengthen customer loyalty, and enhance brand positioning. This can be achieved by investing to targeted marketing campaigns and superior service delivery, contributing to an increased company valuation, and fulfilling the mission of empowering women to feel their best every day.



### Expanding inventory

- Expand product range to target diverse customer segments
- Contract with new designers and expand brands portfolio



### Operations optimization

- Hire CTO to manage technical team to handle technical challenges and focus on delivering superior online experience for customers
- Invest in People team for efficient recruiting and personnel management
- Develop and launch efficient training system for customer insights team
- Optimize operations and inventory management through automation.



### Business diversification and brand positioning

- Incorporate accessories and jewelries service to implement one-stop shop concept
- Invest in brands positioning through ad campaigns to deepen the brand connection with customers

